PlotStudio

Neighborhood Renovation ROI Strategy

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QUESTION

Where would buying a property and renovating give me the best investment opportunity?

Neighborhood Renovation Premiums

Overview

The best descriptive renovation opportunities are Timber, Crawfor, and StoneBr — they show the largest price-per-square-foot uplift for recently renovated homes among neighborhoods with enough data in both groups. That matters because these areas combine strong apparent renovation upside with at least a minimally credible sample, making them the best candidates to carry forward into adjusted modeling.

Key Patterns & Observations

Timber and Crawfor lead the raw ROI screen. The neighborhood renovation premium summary `df_neighborhood_premiums` and ranking chart **Figure 1**

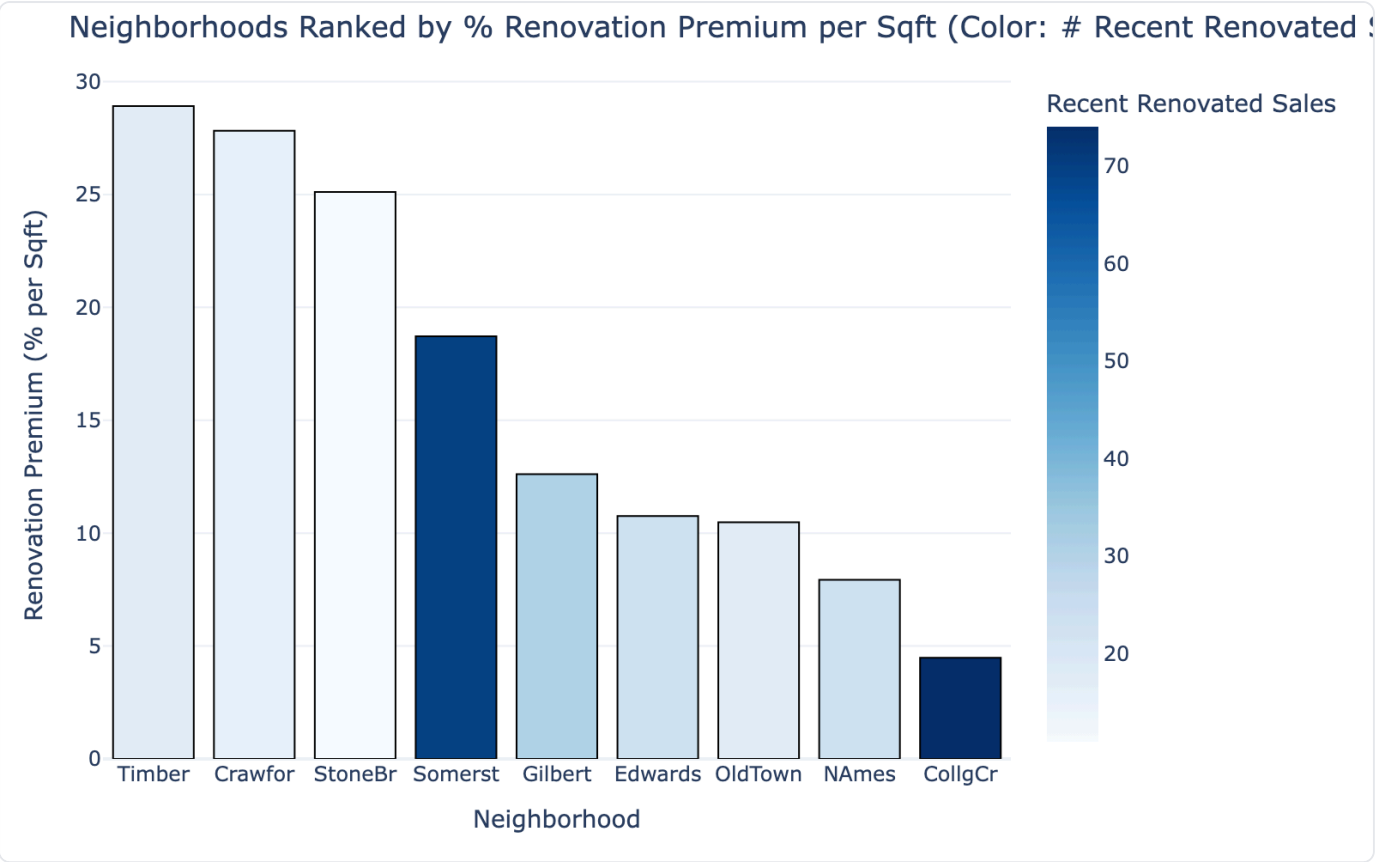

Figure 1

show the strongest percentage premiums in *price per square foot* for recently renovated homes in Timber, Crawfor, and StoneBr.

Neighborhood	Recent Sales	Non-Recent Sales	% Premium in Price/Sqft	Stability Metric
Timber	17	20	28.9%	0.65
Crawfor	15	36	27.8%	0.85
StoneBr	11	14	25.1%	0.83
Somerst	70	16	18.7%	0.99
Gilbert	31	48	12.6%	1.26
Edwards	24	76	10.8%	2.65
OldTown	17	96	10.5%	2.74
NAmes	24	201	7.9%	2.52
CollgCr	74	76	4.5%	3.29

This ranking matters because the premium is normalized by living area, which is more useful for renovation investing than raw sale price alone. Somerst stands out as a secondary candidate: its uplift is smaller than the top three, but it has by far the healthiest recent-renovation sample.

Renovation recency clearly matters, and the payoff decays as remodels age. Across the full market, median *price_per_sqft* falls steadily as time since remodel grows.

Renovation Recency Bucket	Sales	Median Price/Sqft
0–2 years	263	142.95
3–5 years	162	130.74
6–10 years	196	120.56
11+ years	838	110.34

In the promising neighborhoods (Crawfor, StoneBr, Timber), the same pattern is directionally present, although the `6–10` bucket is a little uneven because those subsamples are small.

Promising Neighborhood Recency Bucket	Sales	Median Price/Sqft
0–2 years	28	159.51
3–5 years	15	140.02
6–10 years	13	151.94
11+ years	57	116.53

The big takeaway is that the “recent renovation” concept is not arbitrary: newer remodels are consistently valued more highly, especially relative to homes whose renovations are more than a decade old.

The strongest upside is not in the worst houses — it is in homes where quality upgrades can be recognized by the market. Overall, recent renovation premiums are actually much larger for higher-quality homes than for low-quality ones.

Segment	Non-Recent Avg Price/Sqft	Recent Avg Price/Sqft	Premium %
Higher-quality homes	—	—	24.1%
Low-quality homes	—	—	6.2%
Newer/non-old homes	—	—	20.8%
Older homes	—	—	18.0%

Within the promising neighborhoods, the same pattern holds: higher-quality homes show about `31.0%` renovation premium per square foot, while the low-quality segment is too sparse to estimate reliably. That suggests the most attractive flip candidates are not necessarily the cheapest properties; they are homes with enough baseline demand and neighborhood strength for buyers to pay up for visible improvements.

Kitchen quality, overall quality, and functional bathroom count are the clearest upgrade levers. Across the full dataset, moving up the quality ladder corresponds to large jumps in both median sale

price and median price per square foot.

Kitchen Quality	Median Sale Price	Median Price/Sqft	Sales
Fa	115,000	86.58	39
TA	137,000	109.34	735
Gd	201,800	128.36	585
Ex	316,750	162.49	100

Overall Quality Bucket	Median Sale Price	Median Price/Sqft	Sales
Low (1–4)	105,000	96.68	141
Average (5–6)	143,000	114.80	770
High (7–8)	222,500	129.03	487
Luxury (9–10)	370,878	175.39	61

Total Bathrooms	Median Sale Price	Median Price/Sqft	Sales
1–1.5	112,250	106.87	228
2–2.5	144,000	122.24	585
3–3.5	193,750	120.88	480
4+	247,000	125.57	166

In the promising neighborhoods, the same hierarchy is even sharper for kitchens and overall quality: *Ex* kitchens reach `173.76` per sqft versus `111.45` for *TA*, and luxury-quality homes reach `194.07` per sqft versus `116.07` for average-quality homes. This reinforces the earlier result that visible finish quality and broad quality upgrades are likely the most monetizable renovation levers in the best neighborhoods.

Interpretation & Implications

The descriptive screen points to a practical investment strategy: **target neighborhoods where renovated homes command a large, repeatable premium per square foot, but avoid treating all "fixer-uppers" as equal.** Timber, Crawfor, and StoneBr look strongest on raw uplift, while Somerst deserves attention because its premium is solid and supported by a larger renovation sample. That makes Somerst potentially lower risk even if its upside is not the absolute highest.

Just as importantly, this phase suggests **what to renovate**. Kitchens and overall finish quality appear to matter more than merely buying the oldest or lowest-quality home available. Older homes do benefit, but not dramatically more than newer ones, and the lowest-quality segment looks less attractive or too thinly traded in the top neighborhoods. In real estate terms, the market seems to

reward well-executed quality improvements in already-desirable submarkets more than deep turnarounds in distressed stock.

The next step is to test whether these raw neighborhood premiums survive after controlling for home size, bathrooms, overall quality, neighborhood effects, and market timing around 2008. That will tell us whether Timber, Crawfor, StoneBr, and Somerst are true renovation opportunities or whether part of their raw premium is just composition from selling larger or better homes.

Best Neighborhoods for Buy-and-Renovate Investment

Overview

StoneBr is the clearest buy-and-renovate opportunity in this dataset, with Somerst as the strongest scaled-up alternative and Timber as a smaller but still credible target. After controlling for home size, overall quality, bathrooms, garage capacity, age, kitchen quality, neighborhood, and market timing, StoneBr still shows the largest renovation premium, which means its upside is not just a byproduct of bigger or better houses selling there.

The adjusted renovation premium table `df_renovation_premiums_modeled` and the raw neighborhood premium summary `df_neighborhood_premiums` tell a useful story together: some neighborhoods look attractive in simple comparisons, but only a few remain compelling after adjustment. The modeling evidence is strongest for StoneBr, supportive for Somerst, and still positive for Timber, while Crawfor's raw premium appears to have been partly driven by property mix rather than renovation itself.

Key Patterns & Observations

StoneBr dominates on adjusted payoff. In the model, StoneBr retains the largest neighborhood-specific renovation premium at about `30.5%`, well ahead of every other screened neighborhood. Somerst follows at about `12.6%`, and Timber remains positive at about `4.2%`.

Neighborhood	Modeled Renovation Premium %	Readout
StoneBr	30.5%	**Best adjusted opportunity**
Somerst	12.6%	Strong upside with better scale
Timber	4.2%	Positive but smaller premium
Gilbert	-0.8%	Roughly neutral
NAmes	-1.2%	Roughly neutral to slightly negative
Crawfor	-1.6%	Raw premium fades after controls
CollgCr	-3.0%	Weak adjusted case
OldTown	-8.0%	Negative adjusted premium
Edwards	-11.7%	Negative adjusted premium

This matters because the model is answering a stricter question: if two homes are similar in size, quality, bathrooms, garage capacity, age, kitchen quality, and timing, does recent renovation still command more value in that neighborhood? In StoneBr, the answer is clearly yes.

Raw and adjusted results agree most strongly for StoneBr and Timber. The modeled-premium ranking plot **Figure 2**

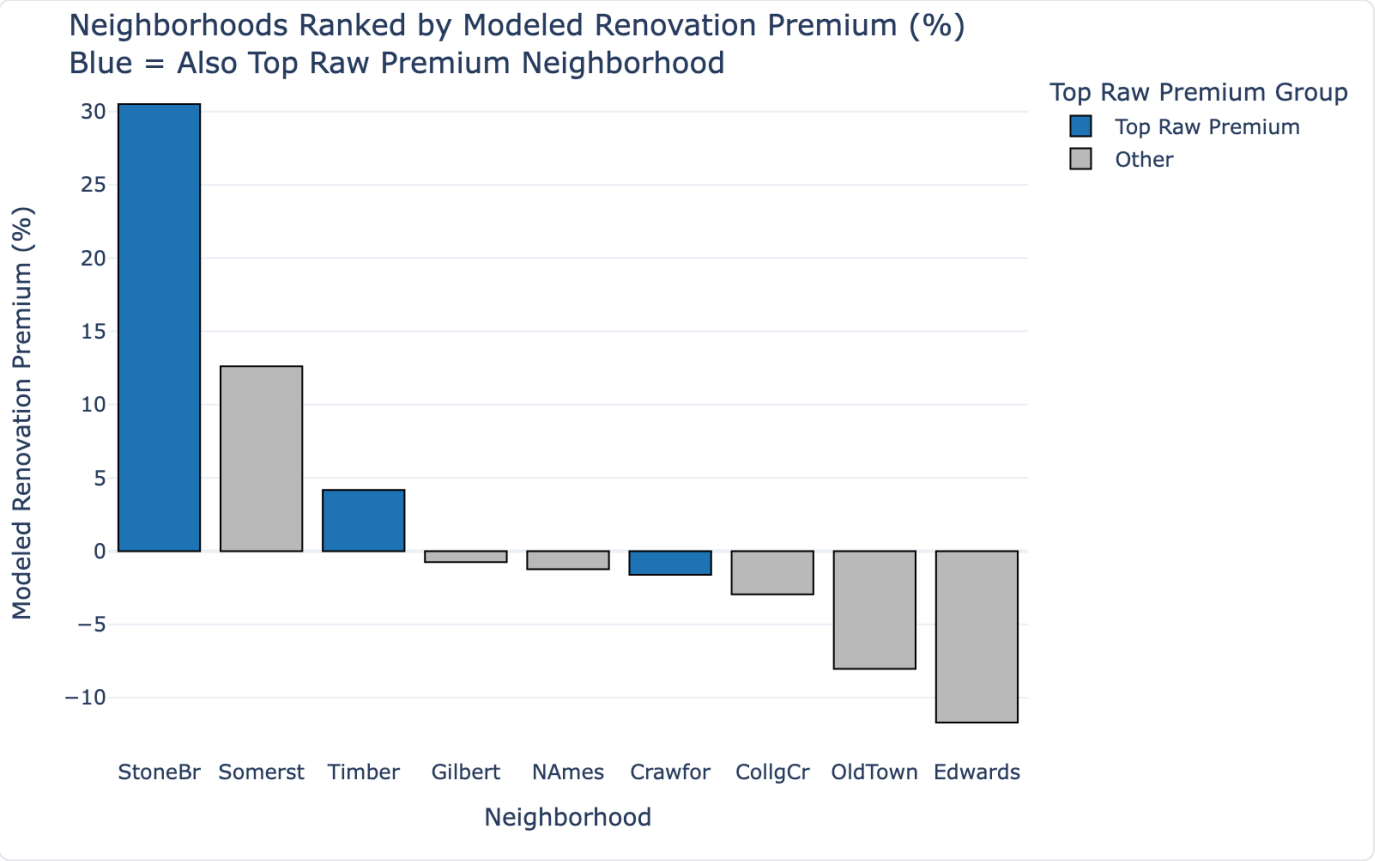

Figure 2

shows where descriptive and adjusted evidence align versus diverge.

Neighborhood	Raw Price/Sqft Premium %	Modeled Premium %	Recent Sales	Non-Recent Sales	Interpretation
StoneBr	25.1%	30.5%	11	14	**Strong in both views**
Timber	28.9%	4.2%	17	20	Positive in both, but weaker after controls
Somerst	18.7%	12.6%	70	16	**Strengthened by adjustment and best-supported sample**
Crawfor	27.8%	-1.6%	15	36	**Weakened after adjustment**

The practical takeaway is that **StoneBr gives the highest upside, Somerst gives the best combination of uplift and sample support, and Timber remains investable but less overwhelming once you account for house characteristics.** Crawfor should be treated with caution: the neighborhood looked excellent descriptively, but that premium does not survive controls.

The market rewards visible, quality-forward renovations more than deep distress plays. The feature-engineered housing table `df_housing_features` consistently showed that kitchen quality, overall quality, and bathroom count are the most monetizable renovation levers. In the top adjusted neighborhoods, median price per square foot is highest for *Ex* and *Gd* kitchens and for homes with `3–3.5` bathrooms.

Upgrade Lever in Top Neighborhoods	Median Price/Sqft	Implication
Ex kitchen	175.3	**Strongest finish-quality payoff**
Gd kitchen	150.1	Clear premium over average finishes
TA kitchen	123.4	Baseline level
2–2.5 bathrooms	144.5	Solid functional improvement
3–3.5 bathrooms	153.9	**Best bathroom-related value zone**
4+ bathrooms	134.8	Diminishing return at the high end

That pattern suggests the best renovation opportunities are not the absolute cheapest homes in the weakest shape. They are homes in strong neighborhoods where buyers will reliably pay for upgraded kitchens, improved overall finish quality, and adequate bathroom capacity.

Older homes appear somewhat more renovation-responsive, but timing around 2008 does not materially change the payoff. The hedonic model estimated a positive *recent_renovation × old_home* interaction of about `0.099` log points, which implies older homes may benefit more from renovation than newer ones after controls. By contrast, the *recent_renovation × post_2008* interaction was only `0.007`, which is effectively negligible in practical terms.

Interaction	Coefficient	Interpretation
Recent renovation × old home	0.099	Older homes likely gain more from renovation
Recent renovation × post-2008	0.007	Renovation payoff is broadly similar before and after 2008

So market timing was less important than neighborhood selection and renovation type in this sample. The better question is not “Was it before or after 2008?” but “Was it the right neighborhood with the right upgrade package?”

Statistical Insights

The hedonic model estimated:

$$\log(\text{SalePrice}) = \beta_0 + \beta_1 \text{GrLivArea} + \beta_2 \text{OverallQual} + \beta_3 \text{total_bathrooms} + \beta_4 \text{GarageCars} + \beta_5 \text{age_at_sale} + \beta_6 \text{KitchenQual} + \beta_7 \text{post_2008} + \beta_8 \text{recent_renovation} + \beta_9 \text{old_home} + \text{Neighborhood effects} + \text{interaction terms}$$

Key coefficients from the fitted model were:

Factor	Coefficient	Interpretation
Overall quality	0.081	**Dominant structural driver** — higher-quality homes command substantially higher prices
Total bathrooms	0.066	Additional bathrooms materially increase value
Garage cars	0.067	Garage capacity adds meaningful sale-price support
Kitchen quality	0.064	Better kitchens strongly associate with higher prices
Recent renovation (base effect)	-0.030	Base premium is neighborhood-dependent, so this alone is not the full story
StoneBr × renovation	0.296	**Large positive neighborhood-specific renovation effect**
Somerst × renovation	0.149	Strong positive neighborhood-specific effect
Timber × renovation	0.071	Modest positive neighborhood-specific effect
Crawfor × renovation	0.014	Near-zero once controls are added
Edwards × renovation	-0.094	Negative adjusted renovation effect

The residual diagnostic **Figure 3**

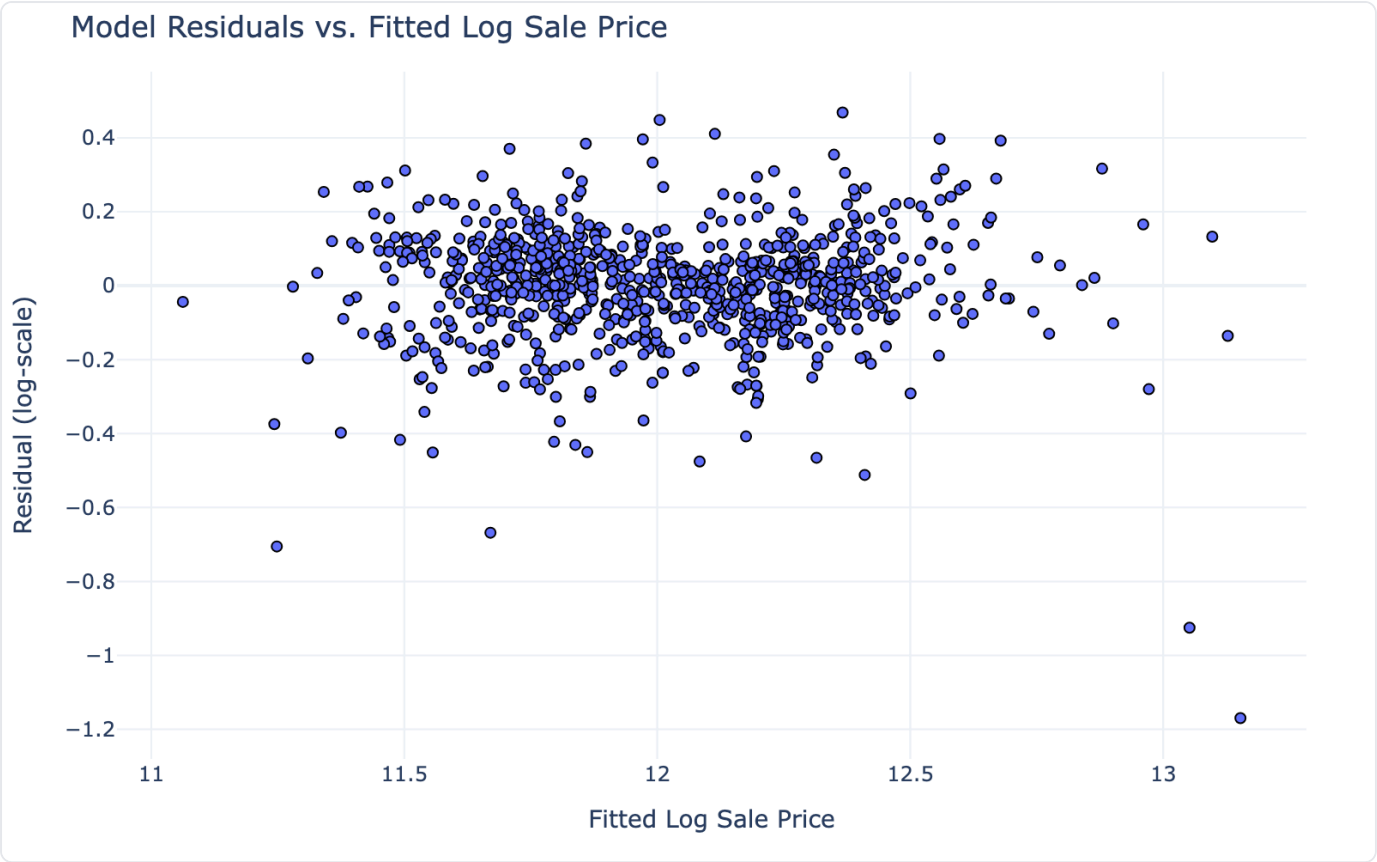

Figure 3

is consistent with a model that is usable for directional decision-making: residuals appear centered around zero without an obvious dramatic funnel, which suggests the log transform helped stabilize variance.

Interpretation & Implications

For an investor asking where to buy and renovate, **the best answer is to prioritize StoneBr first, then Somerst, with Timber as a selective third option.** StoneBr offers the strongest adjusted premium, meaning renovations there appear to create real market value above and beyond simply owning a larger or nicer house. Somerst is especially attractive if you care about execution risk because it combines a still-strong adjusted premium with much better transaction depth. Timber remains interesting, but it should be treated as a narrower, more selective play rather than a broad neighborhood-wide thesis.

The most responsive property profile is **an older home in a strong neighborhood that can be moved up materially in kitchen quality, overall finish quality, and bathroom functionality.** The evidence does not support chasing the lowest-quality inventory just because it looks cheap. Instead, the highest-probability strategy is buying homes that already sit in demand-rich neighborhoods and making renovations that buyers visibly recognize and price in.

A practical renovation playbook from this dataset would be:

Priority	Recommendation	Why
1	Target StoneBr	Highest adjusted renovation premium
2	Target Somerst for scale	Strong adjusted premium with the best sample support
3	Use Timber selectively	Positive adjusted payoff, but less dominant
4	Favor kitchen and finish upgrades	Largest and clearest price-per-square-foot uplift
5	Improve homes toward 3+ bathrooms where feasible	Functional value uplift appears strongest there
6	Prefer older homes with cosmetic/quality upside over distressed low-end stock	Older homes seem more renovation-responsive, but very low-quality segments look weaker or thinner

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Limitations

This analysis is reliable for the `2006–2010` sales in this dataset, but it is still observational rather than causal. A recent renovation flag based on *YearRemodAdd* captures recency, not actual renovation cost, scope, or execution quality, so this cannot estimate true investment ROI net of project spend.

The strongest adjusted neighborhoods also have limited sample sizes in some cases, especially StoneBr and Timber, so those estimates should be interpreted as promising rather than guaranteed. The model also cannot capture unobserved factors like exact street location, contractor quality, staging, school micro-boundaries, or financing conditions, all of which may affect sale price.

The bottom line: if you want the best buy-and-renovate opportunity in this dataset, start with StoneBr, keep Somerst close behind for a more scalable and better-supported strategy, and focus on older homes where you can deliver obvious kitchen, finish-quality, and bathroom improvements that buyers will actually pay for.

Data Sources

- df_neighborhood_premiums
- df_renovation_premiums_modeled
- df_housing_features